THE BURTON INN

Standard Lease Terms

Draft v0.3 — July 11, 2026 — prepared from the July 2026 Rent Basis & Owner Return prospectus

> **Applicability.** *These Standard Lease Terms and the accompanying Definitions & Glossary state the operating and legal terms of the Commercial Lease Agreement for The Burton Inn (the "Lease"). They apply together with the* **Lease Terms Sheet***, which states the deal-specific terms (parties, Premises, Term, Base Rent, Percentage Rent, Triple-Net Expenses, Permitted Use, exhibits, and signatures). Capitalized terms are defined in the Glossary or in the Lease Terms Sheet. Where the Lease Terms Sheet is silent, these Standard Lease Terms control; in the event of a conflict, the Lease Terms Sheet prevails.*

STANDARD LEASE TERMS

ARTICLE 2 | PREMISES

2.1 Lease of Premises. Landlord leases to Tenant, and Tenant leases from Landlord, the entire Premises described in the Lease Terms Sheet. Because the Premises comprise the whole building and grounds, there are no common areas, no proportionate-share allocations, and no relocation rights; Tenant's rights extend to the entire Premises for the entire Term.

2.2 Quiet Enjoyment. Provided Tenant performs its obligations under the Lease, Tenant shall peaceably hold and enjoy the Premises for the Term without hindrance by Landlord or anyone claiming through Landlord.

ARTICLE 3 | TERM; COMMENCEMENT; PHASED OPENING

3.1 Term. The initial term of the Lease (the "Term") begins on the Commencement Date and ends at the close of the last day of Lease Year 10 stated in the Lease Terms Sheet, unless extended under Section 3.5 or earlier terminated as provided in the Lease.

3.2 Commencement Date; Delivery. The "Commencement Date" is stated in the Lease Terms Sheet. Landlord has delivered exclusive possession of the Premises to Tenant in their as-is condition (subject to Landlord's obligations under Exhibit C and Article 9), and Tenant has accepted possession. Tenant's Triple-Net Expense and utility obligations under Article 6 begin on the date stated in the Lease Terms Sheet; Landlord carries those costs for any earlier portion of the Term.

3.3 Opening Date; Phased Opening. Tenant intends to open in two phases: **Phase 1** — completion of guest-room fit-out and opening of the guest rooms to paying guests (the date the guest rooms first open being the "Opening Date"); and **Phase 2** — opening of the kitchen, bar, and events operations, targeted approximately three (3) months after the Opening Date. Tenant shall pursue both phases with commercially reasonable diligence, subject to extension for Force Majeure and delays caused by Landlord (including completion of the Exhibit C systems to the extent legally required for the applicable phase). Because Lease Years run on the fixed calendar stated in the Lease Terms Sheet regardless of the pace of Tenant's fit-out, delay in opening extends neither the Base Rent abatement nor any other Lease Year milestone.

3.4 Lease Year. "Lease Year" has the meaning stated in the Lease Terms Sheet. Each Lease Year is a successive twelve (12) month period on the stated calendar, except that the final Lease Year ends on the last day of the Term. All Gross Revenue from and after the Commencement Date is included in the Lease Year in which it arises.

3.5 Option to Extend. If the Lease Terms Sheet grants an extension option, then, provided no Event of Default exists either when the option is exercised or when the extension begins, Tenant may extend the Term for the additional period stated there, on the same terms and conditions — including Base Rent, the Breakpoint, and Percentage Rent, but excluding this Section 3.5 and the Lease Year 1 Base Rent abatement — by written notice to Landlord given within the notice window stated in the Lease Terms Sheet. During the extension, "Term" includes the extension period.

ARTICLE 4 | BASE RENT

4.1 Base Rent. Tenant shall pay Landlord the Base Rent stated in the Lease Terms Sheet, in advance on or before the first (1st) day of each calendar month, by ACH transfer to an account designated by Landlord, without prior demand, deduction, set-off, or counterclaim. Base Rent is prorated per diem for any partial calendar month. Base Rent is fixed for the entire Term with no escalation.

4.2 Year 1 Abatement. Base Rent is fully abated for the period stated in the Lease Terms Sheet, in recognition of Tenant's staged opening and Tenant's fit-out investment under Exhibit B, and commences on the Rent Commencement Date stated there. The abatement applies to Base Rent only: Percentage Rent, Triple-Net Expenses, and utilities are payable during the abatement period without abatement (per Articles 5 and 6).

4.3 No Escalation; Percentage as Escalator. Base Rent is deliberately flat for the entire Term. The parties intend Percentage Rent (Article 5), computed against a Breakpoint that does not increase, to function as the escalator: as Gross Revenue grows, Landlord's total rent grows faster than the business itself.

4.4 Late Charge; Interest. If any payment of Rent is not received within five (5) days after it is due, Tenant shall pay a late charge of five percent (5%) of the overdue amount, and unpaid amounts shall bear interest from the due date until paid at the lesser of twelve percent (12%) per annum or the maximum lawful rate.

4.5 Rent Defined; Net Lease. "Rent" means Base Rent, Percentage Rent, Triple-Net Expenses, and every other sum payable by Tenant under the Lease. Except for Landlord's Retained Obligations (Article 9.2 and Exhibit C), the Lease is intended to be absolutely net to Landlord: Landlord is never exposed to cost inflation on the building, and all costs of operating, maintaining, insuring, and taxing the Premises pass through to Tenant at actual cost.

4.6 Single Obligation. Tenant's Rent obligations are the single, unallocated obligation of Tenant as operating company. Any allocation of rent among Tenant's lines of business (lodging, bar, dinners, pop-ups, commissary, events) in the prospectus or Tenant's planning materials is illustrative only and has no effect on Tenant's obligations under the Lease.

ARTICLE 5 | PERCENTAGE RENT

5.1 Percentage Rent. For each Lease Year, Tenant shall pay Landlord, as "Percentage Rent," the Percentage Rent Rate stated in the Lease Terms Sheet applied to the amount by which Gross Revenue for that Lease Year exceeds the Breakpoint stated there. The Breakpoint is the natural breakpoint (annual Base Rent ÷ the rate), so Base Rent and Percentage Rent join smoothly rather than stacking, and does not increase during the Term. The full Breakpoint (not prorated) applies to Lease Year 1 notwithstanding the staged opening; for any partial final Lease Year, the Breakpoint is prorated by the number of days in that Lease Year.

5.2 Gross Revenue. "Gross Revenue" means the entire amount of revenue, whether cash, card, electronic, or credit, and whether collected directly or through booking platforms, ticketing services, or other intermediaries (without deduction for platform or processing fees), generated by or arising from business conducted at, from, or originating from the Premises, including without limitation: guest-room and lodging charges; food and beverage sales; ticket sales for dinners, tastings, and events; pop-up and takeaway sales; commissary and kitchen-rental fees; venue, event, and private-hire fees; and merchandise sales. Gross Revenue is calculated from receipts — no expense accounting is involved.

5.3 Exclusions. Gross Revenue excludes only: (a) sales, lodging, liquor, and similar taxes collected from customers and remitted to taxing authorities; (b) bona fide refunds, credits, and voided transactions; (c) tips and gratuities paid over to employees; (d) proceeds of insurance or condemnation; (e) security or reservation deposits until applied or forfeited; and (f) proceeds from the sale of used furniture, fixtures, or equipment in the ordinary course of replacement.

5.4 Monthly Statements. Within twenty (20) days after the end of each calendar month from the Commencement Date, Tenant shall deliver to Landlord a written statement of Gross Revenue for that month, broken out by line of business.

5.5 Quarterly Payment; Annual True-Up. Within thirty (30) days after the end of each calendar quarter of each Lease Year, Tenant shall pay Landlord Percentage Rent computed on a cumulative basis: the Percentage Rent Rate applied to the amount by which cumulative Gross Revenue for the Lease Year to date exceeds the Breakpoint, less Percentage Rent already paid for that Lease Year. Within ninety (90) days after the end of each Lease Year, Tenant shall deliver an annual reconciliation statement of Gross Revenue for that Lease Year, certified as true and complete by an officer or manager of Tenant, accompanied by payment of any deficiency; any overpayment shall be credited against the next Percentage Rent due (or refunded within thirty (30) days if the Term has ended).

5.6 Records; Audit. Tenant shall keep complete point-of-sale (POS) and booking records of all Gross Revenue for at least three (3) years after each Lease Year ends. Not more than once per Lease Year, on fifteen (15) days' written notice, Landlord (or an independent accountant engaged by Landlord) may audit Tenant's Gross Revenue records, including POS records, for any of the preceding two (2) Lease Years. If an audit discloses an understatement, Tenant shall pay the resulting deficiency plus interest at the Article 4.4 rate within thirty (30) days; and if the understatement for the audited Lease Year exceeds the audit-cost threshold stated in the Lease Terms Sheet, Tenant shall also reimburse Landlord's reasonable audit cost. Audit results and Tenant's records are confidential per Article 23.6.

5.7 Operating Covenant. Because Percentage Rent is a core part of Landlord's return, Tenant shall, from the Opening Date, continuously operate the inn business at the Premises in the ordinary course during the Term, consistent with the Permitted Use, subject to: temporary closures for the Exhibit B fit-out phases, casualty, condemnation, remodeling, repairs, and Force Majeure; and seasonal closures or reduced schedules not exceeding the seasonal-closure allowance stated in the Lease Terms Sheet in any Lease Year in the aggregate. Nothing herein requires any particular line of business to meet any revenue level; the percentage structure is self-correcting — if revenue falls, Percentage Rent falls with it.

ARTICLE 6 | TRIPLE-NET EXPENSES; UTILITIES

6.1 From the Stated Date. Tenant's obligations under this Article 6 begin on the Triple-Net start date stated in the Lease Terms Sheet (Landlord carries the Premises' costs for any earlier portion of the Term) and apply in every Lease Year thereafter at whatever the actual costs then are. There is no abatement, cap, or base year. Taxes, premiums, and other annual costs spanning the start date are prorated per diem.

6.2 Real Property Taxes. Tenant shall pay all real property taxes, assessments, surface-water-management fees, and similar governmental charges levied against the Premises for periods within the Term. Landlord shall deliver each tax statement to Tenant promptly on receipt, and Tenant shall pay Landlord (or, at Landlord's election, the taxing authority directly, with proof of payment to Landlord) at least thirty (30) days before delinquency. Real property taxes exclude Landlord's income, estate, or transfer taxes. Tenant may contest assessments at its own cost with Landlord's reasonable cooperation, provided payment is never delinquent.

6.3 Building Insurance. Landlord shall maintain special-form (all-risk) property insurance on the building at full replacement cost, together with such commercial general liability coverage for Landlord's ownership interest as Landlord reasonably carries. Tenant shall reimburse Landlord for the actual premiums within thirty (30) days after invoice with a copy of the premium statement. Any increase or decrease in premiums passes through at actuals.

6.4 Routine Maintenance. Tenant shall perform and pay for all routine maintenance and upkeep of the Premises under Article 9.1. If Landlord incurs any routine maintenance cost properly belonging to Tenant, Tenant shall reimburse the actual cost within thirty (30) days after invoice.

6.5 Utilities. Tenant shall establish accounts in its own name and pay directly all utilities serving the Premises, including electricity, water, sewer/septic, garbage, propane or heating fuel, telephone, and internet. Landlord is not liable for utility interruptions except those caused by Landlord's gross negligence or willful misconduct, and interruptions do not abate Rent or constitute eviction.

ARTICLE 7 | USE; COMPLIANCE; LICENSES

7.1 Permitted Use. Tenant may use the Premises solely for the Permitted Use stated in the Lease Terms Sheet, and uses ancillary to it. Any materially different use requires Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed.

7.2 Licenses and Permits. Tenant shall obtain and maintain, at its sole cost, every license and permit required for the Permitted Use, including King County health and food-service permits, transient-accommodation/lodging licensure, and Washington State Liquor and Cannabis Board

(WSLCB) liquor licensure. Landlord shall cooperate reasonably (at no material cost to Landlord) with Tenant's applications, including signing landlord consents customarily required by WSLCB and permitting authorities.

7.3 Compliance with Laws. Tenant shall comply with all applicable federal, state, and local laws, codes, and regulations in its use of the Premises, including health, fire, ADA, and Washington accessibility requirements as to Tenant's operations and Tenant's Work. Notwithstanding any permissive Washington law, no use may violate federal law (cannabis cultivation, distribution, or sale is strictly prohibited absent a separate written addendum).

7.4 Environmental. Tenant shall comply with the Washington Model Toxics Control Act and shall not permit Hazardous Materials on the Premises except customary supplies for the Permitted Use in commercially reasonable quantities, handled per applicable law. Tenant indemnifies Landlord against claims and cleanup costs arising from Tenant's release or storage of Hazardous Materials; Landlord remains responsible for any Hazardous Materials present before the Commencement Date.

7.5 Nuisance. Tenant shall not create a nuisance or overload structural or utility systems. Reasonable noise, music, odors, and activity customary to a working inn, bar, restaurant, and events venue operating within legal limits do not constitute a nuisance under the Lease.

ARTICLE 8 | CONDITION; TENANT'S WORK; ALTERATIONS; LIENS

8.1 As-Is Delivery. Except for Landlord's obligations under Exhibit C and Article 9.2, Tenant accepts the Premises in their as-is, where-is condition as of the Commencement Date. Tenant acknowledges an adequate opportunity to inspect, and Landlord makes no warranty of suitability except as expressly stated in the Lease.

8.2 Tenant's Work. Tenant shall perform, at its sole cost, the interior fit-out described on **Exhibit B**, in two phases as described in Article 3.3. Tenant's Work shall be performed lien-free, in a good and workmanlike manner, by licensed and insured contractors where required, with all required permits.

8.3 Ownership of Improvements. All of Tenant's Work and all subsequent Alterations that are attached to or incorporated into the building (including flooring, finishes, the kitchen retrofit, and built-in furnishings) become part of the building on installation and remain Landlord's property on expiration or earlier termination of the Lease, without compensation — the parties acknowledge this is a bargained-for element of the rent structure. Tenant's movable trade fixtures, equipment, inventory, and unattached personal property remain Tenant's and shall be removed at the end of the Term, with Tenant repairing any damage caused by removal.

8.4 Alterations After Opening. After completion of Tenant's Work, Tenant shall not make structural Alterations, or non-structural Alterations exceeding the consent threshold stated in the Lease Terms Sheet per project, without Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed. Interior, non-structural work at or below that threshold requires notice but not consent.

8.5 Liens. Tenant shall keep the Premises free of liens arising from Tenant's Work or Alterations, shall give Landlord ten (10) days' notice before commencing any work of improvement so Landlord may post notices of non-responsibility, and shall discharge or bond around any filed lien within fifteen (15) days.

ARTICLE 9 | MAINTENANCE AND REPAIRS

9.1 Tenant's Obligations. Tenant shall, at its sole cost, maintain the entire Premises in clean, safe, and operable condition, including: interior walls, floors, and finishes; plumbing fixtures; kitchen equipment; guest rooms and furnishings; doors and windows; landscaping, walkways, and parking surfaces (including routine upkeep); pest control; and janitorial service — ordinary wear and tear and insured casualty excepted. Tenant shall also arrange routine and preventative maintenance of the HVAC system installed under Exhibit C through a licensed contractor.

9.2 Landlord's Retained Obligations. Landlord shall, at its sole cost (not passed through to Tenant), maintain, repair, and replace as needed: (a) the roof and roof membrane; (b) the structural foundation, load-bearing walls, and other structural elements; and (c) full replacement (as distinct from routine maintenance) of the Exhibit C capital systems (fire suppression and HVAC), except to the extent replacement is necessitated by Tenant's negligence or misuse. Landlord carries only the long-lived shell it owns anyway; everything that varies with operating the business sits on Tenant.

ARTICLE 10 | INSURANCE

10.1 Tenant's Required Insurance. Tenant shall carry, at its sole cost, from the Commencement Date: (a) Commercial General Liability insurance of at least $1,000,000 per occurrence / $2,000,000 aggregate, including host and premises liability; (b) liquor liability insurance of at least $1,000,000 per occurrence from the date any alcohol is served; (c) special-form property insurance covering Tenant's Work, trade fixtures, equipment, and inventory at full replacement cost; (d) business income insurance covering at least twelve (12) months of Rent obligations; and (e) Washington workers' compensation and stop-gap employer's liability coverage as required by law for Tenant's employees.

10.2 Additional Insured; Evidence. Tenant's liability policies (including liquor liability) shall name Landlord (and Landlord's lender, if any) as additional insured on a primary, non-contributory basis. Tenant shall deliver certificates of insurance before the Commencement Date and on each renewal, with thirty (30) days' notice of cancellation or material change.

10.3 Mutual Waiver of Subrogation. Landlord and Tenant each waive all rights of recovery against the other for loss or damage covered (or required to be covered) by their respective property insurance, and shall obtain the corresponding waiver from their insurers.

10.4 Waiver of Immunity. Solely for the purpose of giving full effect to the indemnity obligations in the Lease, Landlord and Tenant each expressly waive any immunity under the Washington Industrial Insurance Act, Title 51 RCW, and acknowledge this waiver was mutually negotiated.

ARTICLE 11 | INDEMNIFICATION

11.1 Tenant's Indemnity. Tenant shall indemnify, defend, and hold Landlord harmless from claims, damages, and liabilities arising from Tenant's use and occupancy of the Premises, the conduct of Tenant's business (including service of alcohol and lodging of guests), Tenant's Work, or Tenant's breach of the Lease, except to the extent caused by Landlord's gross negligence or willful misconduct.

11.2 Landlord's Indemnity. Landlord shall indemnify, defend, and hold Tenant harmless from claims arising from Landlord's performance of Landlord's Retained Obligations to the extent caused by Landlord's negligence or willful misconduct.

ARTICLE 12 | ASSIGNMENT; SUBLETTING; ORDINARY-COURSE OCCUPANCIES

12.1 Consent Required. Tenant shall not assign the Lease or sublet the Premises without Landlord's prior written consent, not to be unreasonably withheld, conditioned, or delayed. A transfer of a controlling interest in Tenant is an assignment for this purpose, except transfers among Tenant's existing members or for estate-planning purposes. Landlord may assign its interest without Tenant's consent.

12.2 Ordinary-Course Occupancies Permitted. The following are licenses in the ordinary course of the Permitted Use, not assignments or subleases, and require no consent: overnight guest stays; event and venue hires; ticketed dinners; pop-up arrangements with visiting chefs or vendors; and hourly or short-term commissary-kitchen use agreements with licensed food businesses. Tenant remains fully responsible for the Premises and for all such occupants, and all revenue therefrom is Gross Revenue.

12.3 No Release. No assignment or sublease releases Tenant without Landlord's express written release.

ARTICLE 13 | CASUALTY; CONDEMNATION

13.1 Casualty. If the Premises are damaged by fire or other casualty, Landlord shall obtain a repair estimate within forty-five (45) days. If the building shell and Landlord-insured improvements can reasonably be repaired within two hundred seventy (270) days, Landlord shall repair them (using building-insurance proceeds, which Tenant funded through Article 6.3), Tenant shall repair Tenant's Work and property (using Tenant's insurance proceeds), and the Lease continues with Base Rent and Triple-Net Expenses abated in proportion to the untenantable portion until restoration; Percentage Rent self-adjusts through Gross Revenue. If repair is estimated to exceed two hundred seventy (270) days, or if a material uninsured casualty occurs in the final two Lease Years, either party may terminate on thirty (30) days' notice.

13.2 Condemnation. If all of the Premises, or so much that Tenant cannot practicably operate the Permitted Use, is taken by eminent domain, the Lease terminates as of the taking. For a lesser taking, the Lease continues with Rent equitably abated. Landlord receives the condemnation award; Tenant may pursue a separate award for moving expenses, trade fixtures, the unamortized value of Tenant's Work, and loss of business goodwill to the extent separately recoverable under applicable law.

ARTICLE 14 | DEFAULT; REMEDIES

14.1 Tenant Events of Default. Each of the following is an "Event of Default": (a) failure to pay any Rent within five (5) days after written notice of nonpayment; (b) failure to deliver any Gross Revenue statement required by Article 5 within ten (10) days after written notice; (c) failure to perform any other obligation within fifteen (15) days after written notice (or, if the cure reasonably requires longer, failure to commence within fifteen (15) days and diligently complete); (d) abandonment of the Premises coupled with failure to pay Rent; and (e) Tenant's insolvency, assignment for the benefit of creditors, or bankruptcy filing not dismissed within sixty (60) days.

14.2 Remedies. Upon an Event of Default, Landlord may, cumulatively and without limitation of other lawful remedies: (a) terminate the Lease by written notice and recover the amounts provided by Washington law, including unpaid Rent earned at termination, the excess of Rent for the balance of the Term over the loss Tenant proves could reasonably be avoided (discounted at the Federal Reserve

Bank of San Francisco discount rate plus 1%), and all other detriment proximately caused, including reletting expenses; or (b) without terminating, re-enter and relet the Premises for Tenant's account, applying proceeds first to reletting expenses (repossession costs, commissions, attorneys' fees, repairs, and concessions prorated over the new lease), then to Tenant's other indebtedness, then to Rent, with Tenant remaining liable for any deficiency. For purposes of computing damages, Percentage Rent for future periods shall be deemed to equal the average annual Percentage Rent payable during the thirty-six (36) months preceding the default (or the actual period, if shorter). No re-entry terminates the Lease absent written notice of termination. Tenant waives all rights of redemption to the fullest extent permitted by law.

14.3 Landlord Default; Cure. Landlord is not in default unless it fails to perform an obligation within thirty (30) days after written notice from Tenant (extended so long as Landlord commences within thirty (30) days and diligently pursues completion). Tenant's sole remedy for Landlord's uncured default is actual money damages (not consequential or punitive damages); provided that if Landlord's uncured failure to perform Landlord's Retained Obligations renders a material portion of the Premises untenantable for more than thirty (30) days, Base Rent equitably abates for the affected period.

14.4 Additional Rent. Every sum payable by Tenant under the Lease is collectible as Rent, and nonpayment carries the same remedies as nonpayment of Base Rent.

ARTICLE 15 | SUBORDINATION; ATTORNMENT; ESTOPPEL

15.1 Subordination; Non-Disturbance. The Lease is subordinate to any current or future mortgage or deed of trust on the Premises, provided that, as a condition to subordination to any future encumbrance, the holder delivers a commercially reasonable non-disturbance agreement recognizing the Lease (including the Base Rent abatement and Percentage Rent structure) so long as no Event of Default exists. Tenant shall attorn to any successor upon foreclosure.

15.2 Estoppel Certificates. Each party shall deliver, within ten (10) business days after written request, an estoppel certificate confirming the status of the Lease, the Rent, and any defaults known to the certifying party.

ARTICLE 16 | LANDLORD'S ENTRY

Landlord may enter the Premises on twenty-four (24) hours' notice for inspection, repairs, or showing the Premises to lenders or purchasers (and to prospective tenants during the final nine (9) months of the Term), conducted so as to minimize interference with guests and operations; and without notice in emergencies. Landlord shall respect the privacy of occupied guest rooms except in emergencies.

ARTICLE 17 | HOLDOVER

If Tenant remains in possession after the Term without Landlord's written consent, the tenancy is at sufferance, Base Rent increases to one hundred fifty percent (150%) of the last-effective Base Rent, and Percentage Rent and Triple-Net Expenses continue. Acceptance of holdover rent does not create a periodic tenancy absent a signed writing.

ARTICLE 18 | SURRENDER

On expiration or earlier termination, Tenant shall surrender the Premises broom-clean and in good condition, ordinary wear and tear and insured casualty excepted, with all improvements described in Article 8.3 in place; shall remove its movable trade fixtures, equipment, and personal property, repairing damage from removal; and shall return all keys and access devices. Property not removed is deemed abandoned and may be removed, stored, sold, or disposed of at Tenant's expense.

ARTICLE 19 | NO OPTION TO PURCHASE

Tenant has expressed a goal of being in a position to purchase the building around Lease Year 10. The parties acknowledge that this is a financial goal only: **nothing in the Lease grants Tenant an option to purchase, right of first refusal, or right of first offer, and nothing obligates either party to transact.** Any sale would be by separate written agreement negotiated at the time.

ARTICLE 20 | SECURITY DEPOSIT; GUARANTY

20.1 Security Deposit. The Security Deposit, if any, is stated in the Lease Terms Sheet. Where a deposit is stated, Landlord holds it (without trust account or interest) as security for Tenant's performance; it may be applied to defaults, must be replenished within ten (10) days after application, and the balance returned within thirty (30) days after surrender. Where the Lease Terms Sheet states none, no deposit is required, the parties acknowledging that Tenant's Exhibit B fit-out (which attaches to the building under Article 8.3) and the triple-net structure together serve the protective function a deposit ordinarily would.

20.2 Guaranty. Any guaranty of Tenant's obligations is as stated in the Lease Terms Sheet. Where it states none, Tenant's obligations are not guaranteed by any person or entity.

ARTICLE 21 | NOTICES

Legal notices must be in writing and delivered by personal delivery, overnight courier, or certified mail (return receipt requested) to the notice addresses stated in the Lease Terms Sheet, effective on delivery or refusal. Any notice under chapter 59.12 RCW shall be served strictly as Washington law requires (including RCW 59.12.040). Email does not constitute legal notice of default. Either party may change its notice address by written notice given as provided above.

ARTICLE 22 | DISPUTE RESOLUTION

22.1 Governing Law; Venue; Fees. The Lease is governed by Washington law. Venue lies in King County, Washington. The prevailing party in any action recovers its reasonable attorneys' fees and costs.

22.2 Waiver of Jury Trial. TO THE MAXIMUM EXTENT PERMITTED BY WASHINGTON LAW, LANDLORD AND TENANT KNOWINGLY, VOLUNTARILY, AND INTENTIONALLY WAIVE TRIAL BY JURY IN ANY ACTION OR PROCEEDING (INCLUDING UNLAWFUL DETAINER) ARISING OUT OF THE LEASE.

ARTICLE 23 | MISCELLANEOUS

23.1 Force Majeure. Delays caused by acts of God, fire, flood, earthquake, epidemic, war, civil disturbance, governmental orders, ferry-service disruption materially affecting construction logistics, labor disputes, supply-chain disruption, or other causes beyond a party's reasonable control extend that party's time for performance by the duration of the delay; provided that Tenant's obligation to pay Rent when due is never excused by Force Majeure.

23.2 Acknowledgment; Recording. Because the Term exceeds two (2) years, the parties shall execute and acknowledge the Lease before a notary as required for leases of this duration under Washington law. At either party's request, the parties shall execute a memorandum of lease in recordable form (omitting economic terms), recorded at the requesting party's cost. Neither party shall record the Lease itself.

23.3 Brokers. Each party represents it has dealt with no broker in connection with the Lease and indemnifies the other against claims arising from its own conduct.

23.4 Authority; OFAC. Each signatory warrants full authority to execute the Lease for its party, and each party warrants that it and its principals are not subject to U.S. sanctions or listed on the OFAC Specially Designated Nationals list.

23.5 Limitation of Landlord Liability. Landlord's liability under the Lease is limited to Landlord's interest in the Premises; Landlord is not liable for Tenant's consequential damages or lost profits.

23.6 Confidentiality. The financial and economic terms of the Lease and the parties' revenue statements, audit results, and planning materials are confidential, except disclosures required by law or made to lenders, purchasers, attorneys, accountants, insurers, or other advisors bound by similar obligations.

23.7 Entire Agreement; Amendment. The Lease (the Lease Terms Sheet with its Exhibits, these Standard Lease Terms, and the Definitions & Glossary) is the entire agreement between the parties regarding the Premises and supersedes all prior discussions, including the July 2026 prospectus (which is a planning document, not a contract, except as its terms are expressly implemented herein). Amendments must be in a writing signed by both parties.

23.8 Severability; Counterparts; E-Signatures. Invalid provisions are severed. The Lease may be executed in counterparts, and electronic or PDF signatures are effective except where Washington law requires original or notarized signatures.

23.9 No Partnership. Nothing in the Lease — including Percentage Rent and the Exhibit D loan, if elected — creates a partnership, joint venture, or agency between Landlord and Tenant; the relationship is solely that of landlord and tenant (and, if Exhibit D is elected, borrower and lender).

23.10 Successors. The Lease binds and benefits the parties and their permitted successors and assigns.

DEFINITIONS & GLOSSARY

This glossary defines capitalized terms used in the Lease Terms Sheet and these Standard Lease Terms. Terms defined in the Lease Terms Sheet (such as Base Rent, Breakpoint, Commencement Date, Permitted Use, Premises, *and Term) have the meanings given there.*

Additional Rent. Any sum payable by Tenant under the Lease other than Base Rent, including Percentage Rent, Triple-Net Expenses, late charges, interest, and indemnification payments. All Additional Rent is collectible as Rent.

Alterations. Any physical additions, improvements, cosmetic updates, or architectural changes made to the Premises by Tenant after the Commencement Date, other than Tenant's initial Work under Exhibit B.

Base Rent. The fixed monthly amount stated in the Lease Terms Sheet, exclusive of Percentage Rent, Triple-Net Expenses, and utilities.

Breakpoint. The Gross Revenue threshold stated in the Lease Terms Sheet above which Percentage Rent accrues; the natural breakpoint equal to annual Base Rent divided by the Percentage Rent Rate.

Commencement Date. The date stated in the Lease Terms Sheet on which the Term begins and possession is delivered.

Event of Default. Any of the events listed in Article 14.1.

Force Majeure. The causes of excused delay described in Article 23.1.

Gross Revenue. Revenue counted toward Percentage Rent, as defined in Article 5.2 and limited by the exclusions in Article 5.3.

Hazardous Materials. Any substance defined as toxic, hazardous, or regulated under federal, state, or local law, including the Washington Model Toxics Control Act (MTCA) and CERCLA.

Landlord's Retained Obligations. Landlord's maintenance, repair, and replacement obligations under Article 9.2, together with the Exhibit C capital systems.

Lease Year. The twelve-month accounting period defined in the Lease Terms Sheet, used to measure the Breakpoint, Percentage Rent, and Term milestones.

Opening Date. The date the guest rooms first open to paying guests (Phase 1), as described in Article 3.3.

Percentage Rent. The rent computed under Article 5 as the Percentage Rent Rate applied to Gross Revenue above the Breakpoint.

Percentage Rent Rate. The percentage stated in the Lease Terms Sheet (10%).

Permitted Use. The business activity Tenant may conduct at the Premises, as stated in the Lease Terms Sheet and elaborated in Article 7.

Premises. The entire building, land, and grounds leased to Tenant, as described in the Lease Terms Sheet and Exhibit A.

Rent. Collectively, Base Rent, Percentage Rent, Triple-Net Expenses, and all other Additional Rent.

Rent Commencement Date. The date stated in the Lease Terms Sheet on which Base Rent begins after the Lease Year 1 abatement.

Tenant's Work. The tenant-funded interior fit-out described in Exhibit B.

Term. The duration of the Lease, as stated in the Lease Terms Sheet, including any exercised extension.

Trade Fixtures. Movable items of personal property or equipment installed by Tenant for its business that remain Tenant's property and must be removed at the end of the Term, repairing any damage from removal.

Triple-Net Expenses. The property taxes, building-insurance premiums, and routine maintenance costs Tenant bears at actual cost under Article 6, plus utilities.

End of the Standard Lease Terms and Definitions & Glossary for The Burton Inn — Draft v0.3, July 11, 2026. To be read with the Lease Terms Sheet.